FitnessPlanet, Member Retention Strategy (Derek Cheng)

Answered Problem Sections:
Yes, it hits both things I asked. Which of the three options to fund, and whether the price is worth touching. He didn't just pick a favorite, he walked through all three and explained why two of them fell apart.
5/5

Technique judgment:
This makes sense. I gave them a labeled outcome (churned or not) and asked him to predict it and put a dollar number on the fee, so a supervised model fits. They also tried a couple other model types and showed they didn't do any better, so going with the simpler one that gives me the odds in plain terms was the right choice.
5/5

Evaluation/interpretation quality:
Really solid here. They didn't stop at "expensive members leave more," they checked whether that was actually about price or just about which plan people were on, and it turned out to be mostly the plan. Then they turned the fee effect into an actual number, what a $10 cut would cost me versus how many people it would save.
5/5

Communication:
Mostly good, I could follow the whole thing without needing them to explain. A few things about how the data itself was presented gave me pause:

- The pricing slide labels its chart "churn by fee quintile." "Quintile" isn't a word I'd expect everyone in the room to know. A caption like "members split into five equal-sized groups, cheapest to priciest" might work better.
- The punch card chart buckets visits as 0, 0.5-1, 1-1.5, 1.5-2, 2-3, 3-4, 4+, but those bars are spaced evenly across the page even though the later buckets cover two or three times the range of visits the early ones do. At a glance it reads like churn steps down evenly which can be a bit misleading.
- On the class reward slide, the 27% who never take a class and the 40% of total losses that group accounts for come from two separate charts, so I had to multiply them myself to see the connection. One combined chart would have made that land immediately.

4/5

Feedback:
The finding that stood out most to me was the week one attendance signal: members who show up once or less in their first week make up a third of the January intake and account for nearly half of everyone lost, and that's actionable immediately, with no new program to build and no price change required. Although I did not add this in the options, it would have been nice to know that it could be. I'd also ask that the limitation about acquisition be noted: everyone in this

dataset already accepted the current price, so nothing here should be read as evidence that raising prices is safe. That said, they tested both of my reward ideas against the data rather than validating them, which is exactly what I asked.